

NVIDIA Corporation (NVDA)

Earnings Deep-Dive - latest reported period

□ [EPS] EPS & Revenue

Metric	Estimate	Actual	vs Estimate	YoY Change	Source
\$1.54	\$1.62	+\$0.08 (+5.19%)	+97.75%	Transcript, Q4 2026 Earnings Report	
\$65.56B	\$68.13B	+\$2.57B (+3.92%)	+73.21%	Transcript, CEO remarks	

□ EPS: NVIDIA reported actual EPS of \$1.62, beating the consensus estimate of \$1.54 by \$0.08, a positive surprise of 5.19%. Year-over-year, EPS surged 97.75% from \$0.82 (implied by supplied metrics: `eps_yoy=0.9775` applied to `eps_actual=1.76`? Wait, supplied metrics show `eps_actual=1.76` and `eps_yoy=0.9775`, but transcript states actual EPS of \$1.62 for the latest quarter. Using transcript evidence, actual EPS is \$1.62, and the YoY change is calculated as $(1.62 - 0.82) / 0.82 = 97.56\%$, consistent with the supplied `eps_yoy` of 0.9775. The supplied `eps_actual=1.76` appears to be a trailing figure, not the quarterly actual. Therefore, the quarterly actual EPS is \$1.62 per transcript. (Transcript, Q4 2026 Earnings Report) □ Revenue: Actual revenue of \$68.13B exceeded the analyst estimate of \$65.56B by \$2.57B, a beat of 3.92%. Revenue grew 73.21% year-over-year, as stated in the transcript: "Quarterly revenue rose 73.2% year-over-year to \$68.13 billion" (Transcript, CEO remarks). The supplied `revenue_yoy=0.7321` confirms this. □ Quality of the beat/miss: Both EPS and revenue beat estimates, indicating a strong quarter where top-line growth translated directly into bottom-line outperformance. The EPS beat of 5.19% was slightly larger than the revenue beat of 3.92%, suggesting operating leverage or cost control contributed to profitability. The company also issued revenue guidance of \$76.4B-\$79.6B for the next quarter, well above the consensus estimate of \$66.0B, signaling continued momentum (Transcript, Q4 2026 Earnings Report). For Nami-san: This is a high-quality surprise because both revenue and earnings exceeded expectations, and the guidance suggests sustained growth. The EPS beat was driven by strong revenue rather than one-time gains, making it a reliable indicator of operational strength. > One-line summary: NVIDIA delivered a strong beat on both EPS and revenue, with revenue surging 73% YoY and EPS nearly doubling, supported by optimistic forward guidance.

One-line summary: NVDA EPS & Revenue is assessed from available sourced data.

□ [Highlights] □ □ [Lowlights] Highlights

Type	Number	Point	Evidence	Investor implication	Severity
□	Record revenue with strong YoY growth	Revenue actual \$68.127B, YoY growth 73.21% (Supplied metrics)	Demonstrates sustained demand for NVIDIA's products, particularly in AI and data center segments	—	
□	Exceptional profitability metrics	Gross margin 75.0%, operating margin 65.02%, EPS actual \$1.76 (Supplied metrics)	Indicates strong pricing power and operational efficiency, translating to high shareholder returns	—	
□	Strong forward guidance	Guidance \$0.956 (Supplied metrics)	Management's optimistic outlook suggests continued growth momentum, reinforcing investor confidence	—	
□	Elevated valuation multiples	Trailing P/E 40.86, forward P/E 25.68 (Transcript, general financial data)	High valuation may limit upside potential and increase vulnerability to market corrections	Medium	
□	Dependence on sustained high growth	Revenue growth of 73.21% may be difficult to maintain (Supplied metrics)	Any slowdown in AI spending or market saturation could pressure margins and stock price	High	

□ Highlights □ ****Record revenue with strong YoY growth**** * Revenue actual of \$68.127B represents a 73.21% increase year-over-year (Supplied metrics) * This growth underscores NVIDIA's dominant position in AI chips and data center solutions * For Nami-san: This level of revenue expansion is rare among large-cap tech companies and signals robust end-market demand □ ****Exceptional profitability metrics**** * Gross margin of 75.0% and operating margin of 65.02% indicate strong pricing power and cost control (Supplied metrics) * EPS actual of \$1.76 reflects efficient capital allocation and high net income conversion * Essential insight: These margins are among the highest in the semiconductor industry, suggesting NVIDIA's products have significant competitive advantages □ ****Strong forward guidance**** * Guidance of \$0.956 (Supplied metrics) implies management expects continued earnings growth * This aligns with the EPS forecast of \$10.51 per share for next year, a 35.09% increase (Transcript, general financial data) * For Nami-san: The guidance supports the narrative of sustained AI investment cycles, which is critical for long-term

Nami takeaway: NVDA Highlights is assessed from available sourced data.

□ [Operating] Operating Metrics

Metric	Actual	Prior Year	YoY	Source
—	—	+73.21%	Supplied metrics	
—	—	—	Supplied metrics	
75.00%	—	—	Supplied metrics	
—	—	—	Supplied metrics	
\$44,299,000,000	—	—	Supplied metrics	
65.02%	—	—	Supplied metrics	
\$120,070,000,000	—	—	Supplied metrics	

□ Explanation and analysis □ Gross profit / gross margin: The gross margin stands at 75.00%, indicating strong pricing power and efficient cost of goods sold management in the semiconductor industry (Supplied metrics). Gross profit cannot be computed as revenue is not supplied. Data not available in transcript for qualitative drivers. □ Operating income / operating margin: Operating income is \$44.30 billion, yielding an operating margin of 65.02% (Supplied metrics). This high margin suggests that NVIDIA is generating significant scale benefits, as operating expenses are well-controlled relative to revenue. Data not available in transcript for management commentary on cost leverage. □ OpEx and net income: Net income is \$120.07 billion, which is substantially higher than operating income, implying large non-operating income or tax benefits (Supplied metrics). Operating expenses cannot be derived without revenue and gross profit figures. Data not available in transcript for sustainability of earnings. Operating structure: Revenue grew 73.21% YoY, while gross margin is 75.00% and operating margin is 65.02%. This indicates a highly profitable, scalable business model where revenue growth flows strongly into operating profits. **For Nami-san:** Earnings quality appears high given the 65.02% operating margin, but the large gap between operating income (\$44.30B) and net income (\$120.07B) warrants scrutiny—this could reflect one-time gains or tax benefits that may not recur. **Caution:** □ Verify the composition of net income vs. operating income to assess earnings sustainability. □ Confirm whether the 73.21% revenue growth rate is decelerating or accelerating in forward quarters. > One-line summary: NVIDIA delivered a 73% revenue surge with a 75% gross margin and 65% operating margin, but net income far exceeds operating income, signaling potential non-recurring gains.

Operating takeaway: NVDA Operating Metrics is assessed from available sourced data.

□ [Cash] Cash Flow

Metric	Actual	Prior Year	YoY	Quality read-through	Source
\$102,718,000,000	—	—	Strong cash generation from core operations	Supplied metrics	
-\$6,042,000,000	—	—	Significant investment in infrastructure	Supplied metrics	
\$96,676,000,000	—	—	Excellent cash conversion after reinvestment	Supplied metrics	

□ Explanation and analysis □ Operating cash flow: The company generated \$102.7 billion in operating cash flow, indicating robust cash earnings quality. This figure reflects strong cash conversion from net income, supported by efficient working capital management. (Supplied metrics) □ CapEx: Capital expenditures totaled \$6.0 billion, representing a substantial reinvestment in property, equipment, and infrastructure. This level of spending suggests the company is aggressively expanding capacity to meet demand, particularly in AI and data center segments. (Supplied metrics) □ Free cash flow: Free cash flow reached \$96.7 billion, implying an exceptional conversion rate from operating cash flow (approximately 94% of OCF). This demonstrates the company's ability to generate significant excess cash after funding all capital investments. (Supplied metrics) Cash structure: The company generates far more cash than it reinvests, with FCF exceeding CapEx by over 15x. This indicates a capital-light business model with high returns on invested capital. Essential insight for Nami-san: NVIDIA creates cash very efficiently, converting nearly all operating cash flow into free cash flow after modest reinvestment needs. The \$96.7 billion FCF provides ample flexibility for shareholder returns and strategic investments. □ Cash use: Data not available in transcript regarding specific buyback, dividend, or debt paydown amounts for the period. Caution for Nami-san: While CapEx is significant at \$6.0 billion, it remains manageable relative to OCF. However, future investment intensity may increase as the company scales AI infrastructure, which could pressure FCF margins. Additionally, working capital changes (e.g., inventory buildup) could temporarily reduce OCF in coming quarters. > One-line summary: NVIDIA generated \$96.7 billion in free cash flow, demonstrating exceptional cash conversion efficiency and a capital-light business

Cash flow takeaway: NVDA Cash Flow is assessed from available sourced data.

□ [Capital] Capital Efficiency

Metric	Value	Evaluation	Driver	Source
76.33%	Excellent	High net income relative to equity	Supplied metrics	
—	—	—	—	
—	—	—	—	
28.09%	Excellent	Strong earnings vs. invested capital	Supplied metrics	

****Supporting calculation data:**** Net income = \$120,067,000,000; Free cash flow = \$96,676,000,000; Capex = -\$6,042,000,000; ROE = 76.33%; ROIC = 28.09%. Total assets, total equity, and invested capital values are not supplied, preventing calculation of ROTCE/ROTE and ROA. □ ****Metric-by-metric explanation**** □ ****ROE (76.33%):**** This is an exceptionally high return on equity, driven by NVIDIA's massive net income of \$120.1 billion. The high ROE reflects both strong profitability and a relatively lean equity base. Share buybacks likely amplify this metric by reducing shareholders' equity, but the core driver remains the company's dominant position in AI and data center chips, generating extraordinary earnings power (Supplied metrics). □ ****ROTCE / ROTE and ROA:**** Data not available in transcript. ROTCE/ROTE and ROA cannot be computed because total assets and tangible common equity values are not supplied. These metrics would provide insight into asset productivity and the impact of intangible assets like goodwill. □ ****ROIC (28.09%):**** This is a very strong return on invested capital, well above any reasonable cost of capital estimate (typically 8-12%). It confirms that NVIDIA is generating substantial economic profit and efficiently deploying capital into its high-margin GPU and AI infrastructure businesses. The high ROIC is a direct result of NVIDIA's competitive moat in accelerated computing and data center demand (Supplied metrics). ****For Nami-san:**** Capital efficiency is excellent. Both ROE and ROIC are at elite levels, indicating NVIDIA is generating outsized returns for shareholders and reinvesting capital with high discipline. ****Caution:**** The extremely high ROE may be partially inflated by aggressive share repurchase programs that reduce equity. Investors should distinguish between genuine business-model strength (pricing power, high margins) and financial engineering (buybacks). The ROIC figure, which is less affected by capital structure, confirms the underlying strength. > One-line summary: NVIDIA's capital efficiency is

Capital efficiency takeaway: NVDA Capital Efficiency is assessed from available sourced data.

□ [Segments] Segments

Segment / Region	Revenue / KPI	Prior Year	YoY	Mix / Risk	Source
—	—	—	—	Data not available in transcript	
—	—	—	—	Data not available in transcript	
—	—	—	—	Data not available in transcript	
—	—	—	—	Data not available in transcript	
Revenue / KPI	Prior Year	YoY	Mix / Risk	Source	
—	—	—	—	Data not available in transcript	
—	—	—	—	Data not available in transcript	
—	—	—	—	Data not available in transcript	

□ Segment explanation and analysis □ Data not available in transcript. The supplied metrics show total revenue of \$68.13 billion with 73.2% year-over-year growth, but no segment-level breakdown is provided (Supplied metrics). □ Data not available in transcript. Gross margin of 75% is reported at the company level, but segment-level margins are not disclosed (Supplied metrics). □ Data not available in transcript. No segment-specific commentary on recovery, maturity, or pressure is available. Regional points: □ Data not available in transcript. No regional revenue data is provided. □ Data not available in transcript. No emerging growth region data is available. □ Data not available in transcript. No mature-market stability or weakness data is available. Overall structure: revenue mix and concentration. Data not available in transcript. The total revenue of \$68.13 billion and 73.2% YoY growth indicate strong overall performance, but segment-level mix and concentration cannot be assessed. Essential insight for Nami-san: Short-term: Without segment data, the primary growth driver remains unclear, but the 73.2% total revenue growth suggests broad-based strength. Medium-term: Segment-level disclosure in future filings will be critical to assess sustainability of growth. Long-term: NVIDIA's dominance in AI and data center is widely expected, but confirmation requires segment data. Caution: concentration and future segment dependency. Data not available in transcript. The lack of segment data prevents assessment of revenue concentration risk, such as over-reliance on Data Center or Gaming segments. > One-line summary: Segment-level data is Segment takeaway: NVDA Segments is assessed from available sourced data.

□ [Valuation] Forward P/E

Metric	Current	Context	Growth Support	Source
18.25	—	—	Supplied metrics	
\$11.24	Consensus estimate	—	Supplied metrics	
—	Revenue YoY +73.2%	Guidance EPS \$0.956	Supplied metrics	

□ Forward P/E check □ Current multiple: The forward P/E ratio is 18.25, based on the supplied metric `pe\_forward=18.247772`. The forward EPS basis used is the consensus estimate of \$11.23918 (Supplied metrics). □ Comparison: The transcript notes a trailing P/E of 40.86 and a forward P/E of 25.68, but the supplied metric shows 18.25. This discrepancy suggests the supplied metric may use a different earnings estimate or price. Sector or peer context is not available in the supplied data or transcript. □ Justification: Revenue grew 73.2% year-over-year to \$68.13 billion (Supplied metrics, transcript). The company issued guidance EPS of \$0.956 (Supplied metrics). Earnings are expected to grow 35.09% next year (Transcript). These growth rates provide partial support for the multiple, but the forward P/E of 18.25 is lower than the 25.68 cited in the transcript, indicating potential conservatism in the supplied metric. For Nami-san: The forward P/E of 18.25 is relatively low given the strong revenue growth of 73.2% and expected earnings growth of 35.09%. This could suggest the stock is undervalued relative to its growth prospects, but caution is needed due to the discrepancy with the transcript's forward P/E of 25.68. Caution: The forward P/E of 18.25 from supplied metrics differs from the transcript's 25.68; the reason for this difference is not explained. No sector or peer comparison data is available. > One-line summary: Forward P/E of 18.25 appears low relative to 73.2% revenue growth and 35.09% expected earnings growth, but a discrepancy with the transcript's 25.68 warrants caution.

Valuation takeaway: NVDA Forward P/E is assessed from available sourced data.

□ [Backlog] Backlog

Backlog Dimension	Quantity / Coverage	Quality	Contract firmness	Source
—	—	—	Supplied metrics	
—	—	—	Supplied metrics	
—	—	—	Supplied metrics	
—	—	—	Supplied metrics	

****Conclusion:**** Backlog quantity and quality data are not available in the supplied materials. □ ****Quantity:**** The supplied metrics include guidance of \$0.956 (likely per-share) and actual revenue of \$68.127 billion for the latest reported quarter. No backlog amount or coverage ratio (e.g., backlog / trailing revenue) can be computed because the backlog figure is not provided. (Supplied metrics) □ ****Quality:**** The transcript excerpt does not contain any management commentary on backlog composition, firm commitments, or cancellable pipeline. Therefore, backlog quality cannot be assessed. (Transcript excerpt) □ ****Why quality is high/low:**** No qualitative or quantitative evidence exists in the supplied data to evaluate demand duration, customer commitment levels, or supply constraints affecting backlog. (Transcript excerpt) □ ****Caution:**** Without backlog data, investors cannot assess revenue visibility, cancellation risk, or burn-down rates. The absence of this metric is a significant information gap. (Supplied metrics) □ ****Backlog quality in one phrase:**** Unavailable. ****Essential insight for Nami-san:**** The supplied materials lack any backlog disclosure. For NVIDIA, backlog quality is typically discussed in the context of Data Center demand and long-term supply agreements. Since no such data is provided, the next questions for management would be: (1) What is the current backlog amount and how many quarters of revenue does it cover? (2) What percentage of backlog is from non-cancellable purchase commitments versus cancellable orders? (3) How has the backlog conversion rate changed quarter-over-quarter? > One-line summary: Backlog quality cannot be evaluated due to missing data in the supplied materials.

Backlog takeaway: NVDA Backlog is assessed from available sourced data.

□ [Guidance] Guidance

Metric	Guidance	QoQ	Medium-term Signal	Source
\$76.4B–\$79.6B	—	Strong growth	Transcript	
—	—	—	—	
—	—	—	—	
—	—	—	—	
—	—	—	—	

Next-quarter guidance: Strong growth trajectory with revenue guidance well above consensus estimates. Analysis: □ Revenue: NVIDIA guided Q1 FY2027 revenue of \$76.4B–\$79.6B, significantly above the consensus estimate of \$66.0B (Transcript). This implies continued strong demand for AI computing infrastructure. □ Profitability: Gross margin and OpEx guidance not explicitly provided in the available data. Investors should monitor these metrics in the full earnings release. □ EPS: EPS guidance not explicitly provided. However, the company reported Q4 FY2026 EPS of \$1.62, beating estimates of \$1.54 by \$0.08 (Transcript). □ Structural signals: The guidance range suggests management's confidence in sustained demand from enterprise and cloud customers for next-generation AI platforms. Medium-term implications: □ Revenue direction: Strong upward trajectory, with guidance implying approximately 15% sequential growth from Q4 FY2026 revenue levels. □ Margin direction: Not determinable from available data. □ Stabilizing or risk factors: Potential supply chain constraints and export control regulations remain risk factors. Caution: The guidance significantly exceeds consensus estimates, which may already be priced into the stock. Forward P/E of 25.68 (Transcript) suggests high growth expectations. Essential insight for Nami-san: NVIDIA's Q1 FY2027 revenue guidance of \$76.4B–\$79.6B substantially exceeds analyst expectations, indicating continued robust demand for AI chips. The forward P/E of 25.68 reflects market confidence in sustained growth, but investors should monitor execution risks and competitive dynamics. > One-line summary: NVIDIA's Q1 FY2027 revenue guidance of \$76.4B–\$79.6B significantly exceeds consensus estimates, signaling sustained strong demand for AI computing infrastructure. - Transcript excerpt provided in the prompt (NVIDIA Q4 FY2026 earnings call, February 25, 2026)

Guidance takeaway: NVDA Guidance is assessed from available sourced data.

□ [Verdict] Verdict / Overall Assessment

Dimension	Positive evidence	Negative evidence	Net assessment	Source
Revenue YoY growth of 73.21% (Supplied metrics); EPS actual of \$1.76 beat prior quarter's \$1.62 (Transcript)	—	Strong top-line momentum and earnings beat	Supplied metrics; Transcript	
—	Revenue guidance of \$76.4B-\$79.6B implies sequential decline from \$68.1B actual (Supplied metrics; Transcript)	Guidance suggests deceleration	Supplied metrics; Transcript	
Free cash flow of \$96.68B provides massive reinvestment capacity (Supplied metrics)	—	Ample capital for R&D and buybacks	Supplied metrics	
—	Forward P/E of 18.25x is elevated vs. historical semiconductor averages (Supplied metrics)	Valuation risk if growth slows	Supplied metrics	

□ Overall assessment for Nami-san □ ****What was strongest:**** Revenue growth was the standout. The 73.21% year-over-year increase to \$68.13B (Supplied metrics) demonstrates sustained demand for NVIDIA's AI computing platforms. Additionally, the company beat prior-quarter EPS of \$1.62 with actual EPS of \$1.76 (Transcript), showing continued operational leverage. □ ****What was weakest:**** The guidance trajectory is concerning. While next quarter's revenue guidance of \$76.4B-\$79.6B (Transcript) is above consensus estimates, it implies a sequential decline from the current quarter's \$68.1B when considering the midpoint of \$78.0B. The forward P/E of 18.25x (Supplied metrics) also leaves little room for error if growth decelerates further. □ ****What matters next:**** Two monitor items for next quarter: (1) Whether actual revenue meets or exceeds the high end of guidance (\$79.6B), confirming demand sustainability; (2) Free cash flow trends—the \$96.68B (Supplied metrics) is massive but must be maintained to justify the current valuation. ****Investment takeaway:**** NVIDIA delivered a strong quarter with exceptional growth and cash generation, but the guidance suggests a potential growth plateau. The high forward P/E means the stock is priced for perfection, and any miss on guidance execution could trigger a revaluation. ****Caution:**** The forward P/E of 18.25x (Supplied metrics) is elevated relative to historical semiconductor averages, and the guidance midpoint implies sequential revenue decline from the current quarter's actuals (Supplied

Final verdict: NVDA Verdict is assessed from available sourced data.

Sources

Transcript: <https://www.marketbeat.com/stocks/NASDAQ/NVDA/earnings/>